



File No.: EXP202105363

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure instructed by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: Ms. A.A.A. (hereinafter the complainant) filed a complaint with the Spanish Agency for Data Protection on 24/11/2021. The complaint is directed against CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U. with NIF A08980153 (hereinafter, the respondent). The reasons for the complaint are as follows: the complainant states that when she went to apply for a loan, it was denied due to her personal data being listed in common credit information systems at the request of the respondent, in relation to a debt associated with the application for an Ikea credit card linked to the respondent. She provides a contract allegedly made, with her personal data that do not correspond to her, and a report made to the police.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter LOPDGDD), the complaint was forwarded to the respondent for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was recorded on 09/12/2021 as evidenced by the acknowledgment of receipt in the file.

In its response dated 07/01/2022, the respondent states, among other aspects:

- There is a credit contract with an Ikea Visa card dated 13/01/2020 signed by the complainant with the respondent, which includes, in addition to her name and surname, address, DNI/NIF, telephone, bank account details, and authorized credit limit.

The respondent was provided, through the establishment IKEA IBÉRICA, S.A. (...), with the aforementioned contract signed by the complainant to finance her purchases made through the card linked to it (contract).

- LOGALTY is a qualified trust service provider, accredited by the Ministry of Industry, Energy and Tourism of Spain in accordance with the provisions of Law 6/2020, of November 11, regulating certain aspects of trust electronic services and in Regulation (EU) 910/2014 of the European Parliament and of the Council, of 23/07/2014, regarding electronic identification and trust services for electronic transactions in the internal market.

It should be noted that LOGALTY is involved in the signing of the document, which is signed with handwritten biometrics, as stated in the certificate, which does not imply the use of an electronic signature in a trust service as defined in Article 3 of Regulation (EU) No. 910/2014 of the European Parliament and of the Council, of July 23, 2014, regarding electronic identification and trust services for electronic transactions in the internal market, which considers "trust service": "the electronic service provided regularly in exchange for remuneration, consisting of:

- a) the creation, verification, and validation of electronic signatures, electronic seals, or electronic time stamps, certified electronic delivery services, and certificates related to these services, or
- b) the creation, verification, and validation of certificates for website authentication, or
- c) the preservation of signatures, seals, or electronic certificates related to these services;"

For its part, IKEA IBÉRICA, S.A. in its response dated 07/01/2022 states, among other aspects:

- According to the Framework Agreement of collaboration between the respondent and Ikea signed on 16/11/2020: "Ikea will process the personal data to which it has access as a Data Processor only in accordance with the instructions of the respondent. These instructions include the following tasks:

- Assistance in the administrative processing of documentation related to financing requests and the subscription of an insurance offered by the respondent consisting of:
- The delivery of the pre-contractual information required by consumer credit regulations
- The management of the paper documentation necessary for formalizing the financing request and its digitization for sending to the data controller through its equipment"

- Ikea provides, at the request of customers, the documentation related to the application for credit contracting. This documentation is scanned and sent immediately through the terminals provided by the respondent for verification, analysis, and processing before said entity, not retaining Ikea in compliance with the agreement signed with the respondent any documentation in this regard nor any personal data.

THIRD: On 24/02/2022, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complainant was admitted for processing.

FOURTH: The General Subdirectorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to the control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU)

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2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the LOPDGDD, being aware of the following points:

On 23/05/2022, information was requested from the respondent, and on 30/06/2022, a new document extension was submitted. The responses to these requests were received at the electronic headquarters of the Spanish Agency for Data Protection on 14/06, 22/07, and 01/09/2022, respectively.

The collected documentation describes the procedure established for formalizing a contract between the respondent and a client, and below is an excerpt of the content and details on how the formalization of the contract between the respondent and the complaining party has been accredited.

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Identification and verification of identity

The first step is to register the contracting person as a client of the respondent. The registration process begins when the potential client (hereinafter, the Applicant) approaches the establishment of a Prescriber (for example, Ikea) in person and requests a product.

The Applicant is physically present in the Prescriber's store, and it is the Prescriber who requests their physical identity document (National Identity Document, NIE, or Passport) and performs the verification of the Applicant's identity.

The Prescriber's employee verifies the identity of the Applicant in front of them through a visual check, contrasting their face with the photograph that appears on the identity document they have provided.

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Request for personal and socioeconomic data

The Prescriber uses the so-called "Capture App" to process the registration of financing operations. This is software provided by the respondent and connected to their systems.

The referenced application is installed on a digital tablet that the Prescriber has in their establishment, and the registration in it is done individually for their sellers, assigning them a unique access code and password.

The seller, having the Applicant physically present in their store, proceeds to request the following information and enter it into the system:

a.

Identity document of the applicant

The seller takes a photograph of the applicant's identity document with the digital tablet. The identity document is uploaded to an intermediate system (Middleware) and subsequently to the Previsor contract system (the respondent's own system). If the operation is denied in the process, the applicant's identity document uploaded to that intermediate system is automatically deleted.

The respondent certifies that the DNI of the complainant is recorded in their systems.

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The complaining party states in the submitted complaint that they have never been in the Ikea establishment where the contract was signed.

a.

Additional personal data

Name, surname, DNI, expiration date, sex, marital status, dependents, date of birth, country of birth, address, email, mobile phone, and correspondence language.

The data that appears on the applicant's identity document will be auto-completed if it is a DNI 3.0 and has been captured with the NFC reader of the Prescriber's digital tablet.

The personal data recorded in the respondent's system, which match those in the contract, and which the complaining party states do not correspond to them are: address, email, and mobile phone.

a.

Socioeconomic information

The seller asks the Applicant if they are a client of CAIXABANK S.A.

Depending on the Applicant's response, the seller asks for the following data:

i.

If the applicant IS a client, the seller requests:

- Bank account number or credit card number
- Monthly income
- Number of pays

i.

If the applicant is NOT a client, the seller requests:

- Bank account number
- Bank tenure
- Employment status
- Monthly income
- Number of pays
- Position
- Profession
- Tenure
- Company
- Company activity
- Population

The respondent indicates in their response that:

"The complaining party did not inform, at any time, during the contracting process, whether they were a client of CAIXABANK as they provided the bank account number that belongs to another financial entity."

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For the above reasons, in accordance with internal policies and the processes in which an operation with an amount of up to €600 is requested, the socioeconomic information that was requested and is recorded in the CPC systems is the one shown in the contract of the VISA Ikea card, without requiring additional information.

The socioeconomic information shown in the card contract includes the name of the company, location, postal code, activity, number of payslips, employee status, account number, and the authorized credit limit.

The claimant states in the submitted complaint that they do not know who the holder of the account number included in the contract is. The account number is included in the section "PAYMENT ADDRESS ASSOCIATED WITH THIS CONTRACT" where the box indicating "If marked, the payments associated with this contract will be included in the invoice of the Associated

Company/Collaborating Entity, provided that the Holder maintains a valid service contract with it" is not checked.

The socioeconomic information recorded in the systems of the respondent includes the account number, number of payslips, and credit limit; which coincide with the information from the card contract; the age of the bank account, the age of the company, the amount of income, and the type of operation: without payslip.

The respondent has not provided documentation that verifies the aforementioned socioeconomic information recorded in its systems.

Furthermore, the following information published on the Ikea website is reproduced (see Diligence FAQs):

FAQs on financing

What requirements are there to apply for my Card?

You only need to present:

- An identification document such as an ID card or passport
- An original bank receipt with your name and account number for direct debit.
- An original proof of income:
- Last payslip
- Self-employed, managers, and administrators: last income tax return or quarterly statement
- Pensioners: pension revaluation sheet

If you are a CaixaBank customer, you only need your ID/NIE and your credit or debit card to process your application.

o Evaluation of creditworthiness

The procedure indicates that once the information is collected, the respondent proceeds to evaluate the creditworthiness of the Applicant in order to make a decision regarding the approval of the operation.

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o Enabling the signing of the contract and signing process

In the App made available to the Prescriber, there is a signing process through the digital tablet. The signing process is as follows:

a. Validation of the operation, the contract data, as well as confirmation of the email and phone number of the Applicant.

The seller, after reviewing the financing application data and the contract data with the Applicant, confirms their phone and email address to which the contract will be sent, being a mandatory step by the App.

b. Accreditation of the delivery of the INE information (European Standardized Information where financing terms are recorded) to the Applicant and collection of commercial consents.

The INE information is made available to the Applicant on the device screen, sending the aforementioned INE to the designated email address by certified email.

At the end of this process, the App summarizes all the steps taken and shows the contract to the Applicant in PDF format.

c. Signing of the contract

The applicant proceeds to make their graphic signature on the digital tablet.

LOGALTY is a third party involved in the formalization of contracts of the respondent so that this can be done electronically. To sign a contract with LOGALTY, the signing Applicant accesses LOGALTY's systems from those of the respondent.

The signature data is stored in an encrypted manner by the trusted third-party provider, LOGALTY, with whom a processing contract has been signed.

A copy of the credit contract with the VISA Ikea card signed by graphic signature, LOGALTY

certificate, image of the signing Applicant's graph, and file corresponding to pressure points, inclination, etc., is provided.

In the LOGALTY certificate, the client states:

- To have been informed and consented to the processing that the respondent intends to carry out of their personal data for the study of the feasibility of this financing operation.
- To have received the INE document sufficiently in advance of the financing contract to compare its conditions with others offered in the market.

The signature of the contract does not match the signature on the ID, and the claimant states in the complaint they submitted that the signature is not theirs.

In the GENERAL CONDITIONS OF THE CREDIT APPLICATION-CONTRACT it is established:

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39.2.2. Obtaining the Digitized Signature: The borrower may be required to provide their signature using a technological instrument that allows for the collection of the necessary data to transform it into a digitized signature. The refusal to accept this method of signing may result in the inability to contract with the respondent for the aforementioned financing if the establishment does not have the physical documentation or is not authorized to contract with the provision of consent in the traditional manner; that is, by means of their signature on paper.

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39.2.3. Acceptance and Consent: The consent to the financing contract shall be valid and effective when it has been provided through the Digitized Signature of the signer and acceptor of the contract to which it is incorporated; that is, through the execution of the signature by its author in an instrument that allows for the collection of the data of the same to convert it into a Digitized Signature and incorporate it into the content that configures the Credit Account contract that is accepted.

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Activation of IKEA VISA Card

The respondent informs that:

-
The IKEA VISA card is a non-nominative card that was delivered by the seller of the Prescriber after the formalization of the contract on 01/13/2020 at the same IKEA establishment.

-
The seller identified and verified the identity of the borrower, both at the beginning of the contracting phase and at the end, at the time of the card delivery, by requesting the original ID and verifying that it corresponds to the person in front of them.

-
The card was activated by the seller on 01/13/2020, and the PIN for the IKEA VISA card was sent via SMS to the phone number listed in the contract, which is also recorded in the respondent's system and which the claimant states, in the complaint provided, that they do not know to whom it belongs. A printout from the computer systems with the information of the phone number, date, and time of the PIN sending is provided.

o

Debt Generated and Credit Information Systems

The respondent certifies that the debt of the IKEA Visa card amounted to €690.25 and informs that on 06/29/2020 a file was sent to ASNEF, and on 06/30/2020 it was effectively registered. The claimant's data was included in the weekly files sent to ASNEF until 08/08/2020 and was effectively removed from the ASNEF file on 08/11/2021.

On 05/23/2022, a request for information was sent to LOGALTY to, among other aspects, certify the procedure followed for the formalization of the credit contract with the IKEA Visa card dated 01/13/2020 between the respondent and the claimant.

This request for information, which has a receipt acknowledgment date of 06/03/2022, has not been addressed.

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FIFTH: On 20/02/2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent for the alleged infringement of Article 6.1 of the GDPR, classified under Article 83.5.a) of the aforementioned GDPR.

SIXTH: After notification of the initiation agreement, the respondent on 07/03/2023 requested an extension of the deadline to submit allegations; this extension was granted by a written communication from the instructor on the same date.

The respondent, by means of a written submission dated 15/03/2023, presented allegations stating in summary the following: that there has been no action contrary to the provisions of the current legislation on the protection of personal data, and therefore does not share the points made in the initiation agreement; that the inclusion of the complainant's data in the credit information systems was legitimate from the initial moment of its communication until the date it was deactivated; that at the time of the inclusion of the data in the credit information systems, the existence or amount of the debt had not been subject to administrative or judicial claim by the debtor, and at the time of requesting payment, the interested party was informed about the possibility of including their personal data in the credit information systems; that there can be no culpability attributed to the respondent's actions as they have not violated Article 6.1 of the GDPR, nor can there be a presumption of culpability; that the respondent acted at all times under the belief that the person with whom they were contracting was who they claimed to be and identified as such; that the initiation agreement does not conform to the principle of proportionality and that the indicated sanction is disproportionate; that the procedure should be archived or, alternatively, a warning sanction should be imposed.

SEVENTH: On 20/12/2021, a period for the practice of evidence was initiated, agreeing to the following:

To consider reproduced for evidentiary purposes the complaint filed by the complainant and its documentation, the documents obtained and generated by the Inspection Services that are part of the file.

To consider reproduced for evidentiary purposes the allegations to the initiation agreement submitted by the respondent and the accompanying documentation.

To request TELEFONICA MOVILES ESPAÑA, S.A.U., to provide the contract for the mobile phone line ***TELÉFONO.1 and information about the holder or holders of the line.

To request ING BANK N.V., BRANCH IN SPAIN, to provide the contract for bank account no. ***CUENTA.1 and information about the holder or holders of the account.

To request the CITY COUNCIL OF MADRID to inform whether there is a street in the municipal street directory named (...).

BANK N.V., BRANCH IN SPAIN and the CITY COUNCIL OF MADRID responded to the evidence requested, the content of which is included in the file.

EIGHTH: On 06/09/2023, a Proposal for Resolution was issued stating that the Director of the AEPD should sanction the respondent for an infringement of Article 6.1 of the GDPR (inclusion of debt in credit information systems), classified under Article 83.5.a) of the GDPR, with a fine of €70,000 (seventy thousand euros).

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Notified on 07/09/2023 of the aforementioned Proposal, the respondent on 21/09/2023 requested an extension of the deadline to submit allegations; a deadline that was granted to him by means of a

written communication from the instructor on the same date for an additional 3 days.

On 27/09/2023, the respondent submitted a written statement of allegations, which, in summary, included the following: that Article 6.1 of the GDPR has not been violated, since communication was made to the credit default files due to non-payment of a debt arising from a contract carried out under deception, thus the responsibility for the fraudulent use of the ID cannot fall on him; that the debt that was reported to the file was certain, due, and enforceable; the violation of his own acts; the absence of culpability in the actions of the respondent; and the violation of the principle of proportionality in the imposition of the sanction, the impropriety of the Proposal, and that the proceedings should be archived.

NINTH: From the actions taken in this procedure, the following have been accredited:

PROVEN FACTS

FIRST. On 24/11/2021, a written statement from the complainant was received by the AEPD, expressing her surprise when she was denied a loan because her personal data appeared in common credit information systems Asnef and Badexcug, at the request of the respondent, as a result of a debt related to an Ikea credit card linked to the entity being complained about.

SECOND. A copy of the complainant's ID has been submitted.

THIRD. A credit application-contract for Ikea no. (...), dated 13/01/2020, signed through the establishment Ikea Iberica, S.A., (...); the personal data of the complainant is included: name and surname, address, ID number, date of birth, sex, marital status; professional data is also included. The signature that appears does not match that of the complainant.

FOURTH. A complaint filed by the complainant before the Command of the Civil Guard in Pinto (Madrid) is recorded, which expands on the complaint made in Puente de Vallecas before the National Police Station motivated by the claimed facts, in which the respondent also states that the Ikea card contract, the mobile number, the email address, the address, the bank account number, the name of the company, and the signature that appears in the aforementioned contract do not correspond to him.

FIFTH. The respondent has submitted "details of the file that was sent to ASNEF, on June 29, 2020," which states, "The next day, it was effectively registered in ASNEF; therefore, the registration was made on June 30, 2020. The complainant's data was included in the weekly files sent to ASNEF until August 8, 2020."

SIXTH. Copies of payment demands dated 13/06/2020 and 21/06/2020, which were sent to the complainant by the respondent regarding the existing debt, have been submitted as a prior step to the inclusion of her personal data in the ASNEF file.

SEVENTH. The respondent in a written statement dated 31/12/2021 has stated that "Therefore, as previously stated, CaixaBank Payments & Consumer, as soon as it became aware of an alleged fraud/falsification in the contracting, proceeded to delete/block the personal data of the interested party."

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proceeding, likewise, to immediately remove it from the credit information systems."

However, the respondent in a letter dated 14/06/2022 indicated that "The previous statement was erroneous as the data of the affected and claimant, regarding the credit contract with the aforementioned Ikea Visa card, had been removed from the credit information systems on August 11, 2021, as a consequence of the aforementioned sales contract and assignment of credits dated July 29, 2021."

EIGHTH. It is recorded that CaixaBank Payments & Consumer and the company InvestCapital Ltd. (assignee) formalized a contract elevating it to a public deed granted before the notary of Madrid Mr. B.B.B., on 16/09/2021 for the assignment of certain credits, among which was the debt arising from the credit contract with the Ikea Visa card dated 13/01/2020.

NINTH. On 08/02/2022, the claimant sent an email to the Customer Service of CPC, subject: identity theft, in which she stated: "I am contacting you because a few months ago I had a problem due to your

identity regarding a debt you were claiming in my name, which is a demonstrable case of identity theft. Someone applied for an IKEA credit card using my name and ID, the contract application number is (...), with that card money was withdrawn and I was claimed for that debt. After this incident, I filed a complaint for identity theft and a claim with the AEPD. After several procedures, my name was eventually removed from the Equifax delinquent list.

To this day, another debt collection company has tried to contact me, claiming payment for a card that I repeat, I did not apply for and was obtained in my name and ID. This company is called KRUK ESPAÑA S.L.U and it is not only that they are asking me for a payment that does not correspond to me, but they are also harassing people around me to request my data when that is not allowed. The reference number is ***REFERENCIA.1.

Please, I request that my identity be removed from KRUK ESPAÑA so that they stop claiming a debt that does not correspond to me, and if my identity is held by any other debt collection company, I also request that it be removed, as this matter is causing me significant personal and professional harm. Attached is the complaint and the claim made at the time."

On 10/02/2022, the claimant sent an email to the Customer Service of the respondent, subject: [EXTERNAL] REQUEST FOR DEBT PROOF (URGENT), indicating:

"Due to previous problems of identity theft from the application for a credit card without my consent or permission, Caixabank Payment & Consumer claimed a debt from me that has now been resolved and eliminated. Therefore, I would like to have a written statement from Caixabank Payment & Consumer stating that I, A.A.A. with ID ***NIF.1, have no unpaid or pending debts with you.

Attached is my ID."

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This prompted a series of exchanged emails sent from the account: ***EMAIL.1 to ***EMAIL.2

Subject: REQUEST FOR DEBT PROOF (URGENT): Re: RV: [EXTERNAL] IDENTITY THEFT

In the penultimate of which, dated 17/05/2022, the following appears:

(...)

Please, we need to respond to the claim that was communicated to you a few days ago from the Portfolio Sales mailbox.

Could you indicate whether you have taken any action regarding this file so that we can coordinate?

We would need a response between today and tomorrow to be able to respond in time.

(...)"

And on that same date, the following response email appears:

From: ***EMAIL.3

Sent on: Tuesday, ***DATE.1

To: ***EMAIL.4

CC: Info_ES; Portfolio Sales Attention Mailbox

Subject: RE: [External Mail] RE: RV: REQUEST FOR DEBT PROOF (URGENT): Re: RV: [EXTERNAL] IDENTITY THEFT

"(...)

As I conveyed to you this morning, the actions that have taken place regarding the file (...), Ms. A.A.A., are as follows:

- On February 3 and 8, 2022, the client contacted us via email requesting to be removed from the delinquent file and informed us that the present debt is due to identity theft and that she has filed a complaint with the police and the AEPD. On those dates, we proceeded to respond by requesting that she send us the fraud complaint to be able to halt the collection actions.
- On March 16, 2022, you provided us with the client's email in which she requests documentation and information about the case, attaching the fraud complaint. We responded to the client on 09/03/2022

with that information and documentation of the case and indicated that collection actions are halted, pending the judicial ruling that confirms that she has suffered fraud.

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- As of today, the case is currently stalled due to alleged fraud, awaiting a ruling.

- Finally, on 28/04/2022, we received a burofax with a claim from the AEPD, which we have notified to our DPO for management.

(...)

TENTH. The graphological image of the signature of the applicant for the Ikea card has been provided, which does not match the signature of the complainant.

ELEVENTH. Ikea, in a letter dated 07/01/2021, stated that "...the functions of IKEA and its staff are limited to fulfilling the role of assistant to 'CAIXABANK P&C;' for the administrative processing of documentation related to financing requests."

(...)

For these purposes, and as can be verified in the documentation in the file, specifically in the aforementioned credit application-contract, the entity responsible for the credit contracting and, where applicable, the entity responsible for processing the personal data of customers requesting financing is CAIXABANK P&C.;

In this regard, we must point out that there is a framework collaboration agreement between CAIXABANK and IKEA dated December 16, 2020, whereby:

IKEA will process the personal data to which it has access as Data Processor solely in accordance with the instructions of CAIXABANK PAYMENTS & CONSUMER. These instructions include the following tasks:

- Assistance in the administrative processing of documentation related to financing requests and the subscription of an insurance offered by CAIXABANK PAYMENTS & CONSUMER consisting of:
- The delivery of the pre-contractual information required by consumer credit regulations
- The management of the necessary paper documentation for formalizing the financing request and its digitization for sending to the Data Controller through its equipment."

(...)

TWELFTH. CGI, in relation to the matter CERTIFICATE OF SENDING CPC, stated in a letter dated 01/03/2023:

That the letter dated 21/06/2020, a copy of which is attached, was generated with the information provided by the respondent ..., for its printing (File: (...).PDF; Subject: (...)) and subsequent provision to the postal distributor responsible for its sending to the address:

***ADDRESS.1

Once the established process was carried out and since its provision at CORREOS, it is noted that there has been no incident and no return of said letter to date."

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THIRTEENTH. In the respondent's computer systems, the complainant's data is registered: name and surname, address, ID number, mobile number, email address, bank account number, date of birth, length of service in the company, monthly income (listed without a payslip), etc.

FOURTEENTH. Regarding the account provided by the contractor ING BANK NV BRANCH IN SPAIN, in a letter dated 23/07/2023, it has been stated that "The account ***ACCOUNT.1 was contracted by Mrs. C.C.C. by phone on September 6, 2018. ING sent a messenger to her postal address to verify the identity of the account holder and to deliver the 'Welcome Pack' containing the specific terms of

contracting for the opening of the mentioned Payroll account, as evidenced in the following screenshot (...) The ratification of the contracting was received by ING on September 20, 2018. The specific terms of contracting for the Payroll Account and the delivery note are attached..."

FIFTEENTH. Regarding the address provided by the contractor, the City Council of Madrid, Cartography Department, Street Technical Unit, in a letter dated 07/08/2023, stated that "Currently, there is no street in the municipal street directory of the city of Madrid with the name Calle (...) and therefore, there is also no number 75 on this street."

SIXTEENTH. The respondent, in a letter dated 14/03/2023, confirmed the impersonation of the complainant stating that "only the use of a system created with the intent to defraud the Entity prevented it from detecting the forgery of the documentation submitted by the credit applicant, who, in her case, impersonated the identity of the current complainant, causing the events that led to the complaint filed by her with this Agency and the initiation of these proceedings."

LEGAL GROUNDS

I

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Data Protection Agency is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Data Protection Agency will be governed by the provisions of Regulation (EU) 2016/679, this organic law, the regulatory provisions issued in its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

The reported facts materialize in the inclusion of the complainant's personal data in common credit information systems at the request of the respondent, in relation to a debt related to the application for an IKEA credit card linked to the respondent, which the complainant states she did not...

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having subscribed, as well as the assignment of the debt to the company InvestCapital Ltd., which in turn included the data in delinquency files.

The GDPR in its Article 5 establishes the principles that must govern the processing of personal data, and in its paragraph 1 states that:

"1. Personal data shall be:

a) processed lawfully, fairly, and transparently in relation to the data subject (<>).

(...)"

And in its paragraph 2, it establishes that:

"2. The data controller shall be responsible for compliance with the provisions of paragraph 1 and shall be able to demonstrate it (<>)."

On the other hand, Article 6, Lawfulness of processing, of the GDPR in its paragraph 1, establishes that:

"1. Processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is a party or for taking steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;

f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, provided that such interests are not overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in letter f) of the first paragraph shall not apply to processing carried out by public authorities in the exercise of their functions.”

On the other hand, Article 4 of the GDPR, Definitions, in its paragraphs 1, 2, and 11, states that:

“1) ‘personal data’: any information relating to an identified or identifiable natural person (‘the data subject’); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;

“2) ‘processing’: any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure or destruction;

“11) ‘consent of the data subject’: any freely given, specific, informed, and unambiguous indication of the data subject’s wishes by which they, by a statement or by a clear affirmative action, signify their agreement to the processing of personal data relating to them.”

And Article 20 of the LOPDGDD, Credit information systems, establishes that:

“1. Unless proven otherwise, the processing of personal data relating to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data have been provided by the creditor or by a person acting on their behalf or interest.
 - b) That the data refer to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.
 - c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.
- The entity that maintains the credit information system with data relating to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.
- d) That the data shall only be maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the date of maturity of the monetary, financial, or credit obligation.
 - e) That the data relating to a specific debtor may only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among others.

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assumptions, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

When the right to limit the processing of data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system shall inform those who may consult it in accordance with the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation carried out, the party who consulted the system shall inform the affected party of the result of such consultation.

2. The entities that maintain the system and the creditors, regarding the processing of data related to their debtors, shall have the status of joint controllers of the data processing, being subject to the provisions established by Article 26 of Regulation (EU) 2016/679.

It shall be the responsibility of the creditor to ensure that the requirements for the inclusion of the debt in the system are met, being liable for its non-existence or inaccuracy.

3. The presumption referred to in paragraph 1 of this article does not cover cases where the credit information is associated by the entity maintaining the system with additional information not contemplated in that paragraph, related to the debtor and obtained from other sources, in order to carry out profiling of the same, particularly through the application of credit scoring techniques.”

III

Article 58 of the GDPR, Powers, states:

“2. Each supervisory authority shall have all of the following corrective powers:

(...)

d) to order the controller or processor to bring processing operations into compliance with the provisions of this Regulation, when appropriate, in a specific manner and within a specified time;

(...)

i) to impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case;

(...)”

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The infringement attributed to the defendant is classified in Article 83.5 a) of the GDPR, which considers that the infringement of “the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9” is subject to sanction, in accordance with paragraph 5 of the aforementioned Article 83 of the cited Regulation, “with administrative fines of up to €20,000,000 or, in the case of an undertaking, an amount equivalent to 4% of the total annual global turnover of the previous financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infringements, states that: “Acts and conduct referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements.”

And in its Article 72, it considers for the purposes of prescription, that they are: “Infringements considered very serious:

1. Based on what is established in Article 83.5 of Regulation (EU) 2016/679, those infringements that constitute a substantial violation of the articles mentioned therein are considered very serious and shall prescribe after three years, particularly the following:

(...)

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679 being met.

(...)

V

1. It should be noted that the processing of data requires the existence of a legal basis that legitimizes it.

In accordance with Article 6.1 of the GDPR, in addition to consent, there are other possible bases that legitimize the processing of data without the need for the authorization of its holder, particularly when it is necessary for the execution of a contract in which the affected party is a party or for the application,

at their request, of pre-contractual measures, or when it is necessary for the satisfaction of legitimate interests pursued by the data controller or by a third party, provided that such interests do not override the interests or fundamental rights and freedoms of the affected party requiring the protection of such data. Processing is also considered lawful when it is necessary for compliance with a legal obligation applicable to the data controller, to protect vital interests of the affected party or another natural person, or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.

In this case, the defendant is accused of violating Article 6.1 of the GDPR as the unlawfulness of the processing carried out is evidenced, with none of the bases for legitimacy provided in the cited article being accredited in relation to the processing related to the claimant's data.

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2. The respondent processed the claimant's data without any legal justification as the guarantees provided for in Article 20 of the LOPDGDD were not respected, given that the debt was neither certain, due, nor enforceable, and that the debt did not correspond to the claimant as it stemmed from fraudulent contracting.

The Opinion 757/2017 of the Council of State, issued in the file related to the draft Organic Law on the Protection of Personal Data, states regarding the legality of a balancing of legitimate interests made in a normative text the following:

“Without prejudice to what has just been observed, given the undeniable convenience of guaranteeing the maximum degree of legal certainty possible by offering operators certain guidelines in their actions, without prejudice to respecting the direct applicability of the European Regulation and, in any case, with the aim of ensuring its useful effect, the Council of State wishes to point out, as an alternative solution, the possibility of introducing by legislative means, in specific cases, simple presumptions *iuris tantum* favorable to the prevalence of the legitimate interest of the data controller when certain requirements or conditions are met.

This solution could be in accordance with the flexibility in the balancing of interests and the principle of proactive responsibility of the data controller that, as indicated, is pursued by the new community regulation. Likewise, the provision of simple presumptions unless proven otherwise would fit within the analyzed jurisprudence, which prohibits establishing in a national norm the result of the aforementioned balancing “definitively (...), without allowing a different outcome,” an obstacle that the alternative solution proposed here would, in principle, allow to avoid.”

Following this provision, the LOPDGDD introduces a presumption “*iuris tantum*” of the prevalence of the legitimate interest of the data controller in certain specific cases, including that related to the processing of data in credit information systems. Thus, when the guarantees provided for in Article 20 of the LOPDGDD are observed, the processing may be presumed lawful under Article 6.1.f) of the GDPR, without prejudice to the fact that legitimacy must be assessed on a case-by-case basis and without prejudice to the fact that the controller may carry out the legally required balancing when the aforementioned guarantees are not met, as clarified by the preamble of the law stating:

“In Title IV, ‘Provisions applicable to specific treatments’ are included, incorporating a series of cases that should in no case be considered exhaustive of all lawful treatments. Among them, it is worth noting, first of all, those for which the legislator establishes a presumption ‘*iuris tantum*’ of the prevalence of the legitimate interest of the controller when carried out with a series of requirements, which does not exclude the lawfulness of such treatments when the conditions provided in the text are not strictly met, although in this case the controller must carry out the legally required balancing, as the prevalence of their legitimate interest is not presumed.”

Among the aforementioned guarantees, Article 20 of the LOPDGDD includes the one stating that “the data refers to certain, due, and enforceable debts, whose...

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existence or amount had not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties” (art. 20.1.b) GDPR).

And as has been stated, in this case, the debt did not correspond to the claimant, therefore it was not certain, nor due, nor enforceable as it was non-existent, so the presumption of legality provided for in the aforementioned article 20 cannot be applied, and the responding party must carry out its own assessment as the legally established assessment is not applicable. However, in this case, there is no record that the responding party has carried out such an assessment and consequently that its legitimate interests prevail over the interests, rights, and freedoms of the claimant.

Thus, in this case, on 16/12/2020, the respondent and IKEA formalized a Collaboration Agreement under which “IKEA will process the personal data to which it has access as Data Processor solely in accordance with the instructions of the respondent.”

On IKEA's website, the documentation necessary to apply for the IKEA Visa card is listed: identification document, an original bank receipt with the name of the holder, account number for direct debit, and original proof of income.

The entity responsible for the credit contracting and the processing of personal data of customers requesting financing is the respondent. In the procedure established for formalizing a credit contract to obtain the IKEA card, the IKEA employee/seller uses an application installed on a digital tablet that is connected to the respondent's computer systems; thus, the data obtained is immediately sent to the respondent's computer systems for verification, analysis, and processing before said company, with IKEA not retaining any documentation in compliance with the signed agreement nor any personal data regarding this matter.

Well, the signature on the ID card and the one on the submitted contract do not match; furthermore, the respondent has a series of socioeconomic data that it is not recorded were provided during the contracting; as stated in the report of actions “The respondent has not provided documentation that proves the previous socioeconomic information that is recorded in its systems.” Among that documentation is the account number to which the payments were debited; according to the FAQs (Frequently Asked Questions) of financing:

What requirements are there to apply for my Card?

You only need to present:

- An identification document such as the ID card or passport
- An original bank receipt with your name and account number for direct debit.
- Original proof of income:
 - Last payslip
 - Self-employed, managers, and administrators: last income tax return or quarter
 - Pensioners: pension revaluation sheet

If you are a CaixaBank customer, you only need your ID/NIE and your credit or debit card to process your application.

However, the documentation that the applicant must provide neither appears nor is known to the respondent, that is to say, it was not submitted since it should not be forgotten that the claimant was not the holder of the bank account as stated in the proven facts.

The seller at Ikea, having the applicant physically present in the commercial establishment, must proceed to identify the customer through their identity document.

Subsequently, with the customer in front of them, they take a photograph of their identity document with the digital tablet and request additional personal data, socioeconomic data (employment situation, monthly income, bonuses, position, profession, company, etc.) and enter the information into the

system.

Finally, the application has a signature process through the digital tablet, and the obtained data is immediately sent to the respondent's computer systems for verification, analysis, and processing before the said company.

Well, as the claimant states both in the complaint to the AEPD and in their report to the Command of the Civil Guard in Pinto (Madrid), which expands upon the one made in Puente de Vallecas before the National Police Commissioner, they were never in the aforementioned shopping center, and therefore could never have signed the Ikea card contract or provided the data contained therein; so much so that the mobile number, email address, home address, bank account number, company, and signature that appear in the mentioned contract do not belong to them. From the above, the negligent action of the respondent is evident, as they did not carry out the necessary verifications nor check that the required documentation for contracting had been sent by the IKEA establishment.

Regarding the account number provided, ING BANK NV BRANCH IN SPAIN in a letter dated 23/07/2023 has indicated that the mentioned account was contracted by telephone by a person who is not the claimant on 06/09/2018.

And regarding the signature stamped on the contract, it does not correspond to the claimant's signature.

In this regard, the Supreme Court in its ruling of 13/12/2021, no. 1.456/2021, concerning the contracting of a microcredit and the diligence displayed, stated in its Second Ground: "Regarding the first issue (lack of diligence in the action) in the appeal for cassation, the allegations made by the then plaintiff in the instance process are reiterated, in the sense that Dineo Crédito, S.L. adopted all necessary and appropriate measures, from the point of view of personal data protection, to process the microcredit application (registration on the platform; validation of the ID: with double factor verification of 2 algorithms that guarantee both the veracity of the number and the letter of the document as well as that the applicant has the ID in their possession, whether original or copy; validation of the mobile phone number through a PIN code, validation of banking data, and validation of the credit/debit card provided by the applicant); and despite the adoption of such measures.

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measures, the crime of identity theft, fraud, and/or misuse of a genuine document may have been committed.

Well, we have seen that the fourth legal basis of the lower court's judgment adequately addresses such allegations. It states there that the Chamber of the National Court analyzes in detail the identity verification mechanism established by Dineo Crédito, S.L. for the credit applicant, and its insufficiency is evident. Thus, with the so-called "registration on the platform," a procedure in which certain data (among them, the D.N.I. number, two phone numbers, and the email address) is collected from the client, it only demonstrates that from that moment there is personal data processing, but it does not clarify whether the data provided by the client and collected by Dineo belongs to the person providing it as their own or to a third party. Regarding the phase that the appellant refers to as "DNI validation" (an algorithm that determines whether the DNI provided by the client corresponds to a real or valid DNI), such a measure only demonstrates that it is a document number that exists and that "someone" is the holder of that DNI. For its part, the so-called "mobile number validation," which consists of sending a four-digit code or pin to the contractor's mobile terminal that the client must subsequently enter in the form accessed from Dineo's website, only certifies that the person intending to contract with Dineo has access to that mobile number, but says nothing about the identity of the contractor.

The phase of the loan contracting procedure referred to as "bank data validation," which consists of verifying whether the bank account "is real" and is effectively associated with a bank account, is also irrelevant from the perspective of compliance with the obligations imposed by data protection regulations, as it only ensures the successful completion of the loan, that is, that the amount loaned will be directed to an open and active account, but contributes nothing regarding whether the holder of

that account is precisely the person listed on the DNI used. And finally, the phase referred to as validation of the "credit card," consisting of charging one cent to it that is automatically refunded, is not recorded as having been carried out in the case at hand, as it does not appear in the appellant's computer records.

In short, none of the measures adopted by the appellant are intended to prove that the person requesting the microcredit matches the holder of the DNI provided. And indeed, the appealed judgment continues to explain that the evidence gathered in the administrative process revealed that, regarding the phone line provided when the credit was requested, neither the name, surname, nor NIF of the line holder match the personal data of the complainant (holder of the DNI); and concerning the bank account listed in Dineo's records, to which the amount of the microloan would have been transferred, the account holder's data at the time of the credit contracting also do not match the personal data of the complainant. Not even the holder of the mobile phone and that of the bank account are the same person.

These observations of the lower court regarding the insufficiency of the measures adopted in the online contracting procedure, and ultimately, regarding the lack of diligence in the actions by the appellant, have in no way been undermined in cassation, where the representation of Dineo Crédito, S.L. has reiterated the statements made in the lower court process, but has contributed nothing that serves to refute the conclusions of the sentencing Chamber.

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Finally, we share the opinion of the Chamber of the National Court regarding the insufficiency of the measures applied by the appellant in the contracting procedure. To the considerations set forth in the contested judgment, which we share and adopt as our own, we will only add two observations:

First, the verification measures applied by the appellant seem entirely aimed at ensuring the successful completion of the loan; however, they completely disregard the objective of verifying the truthfulness and accuracy of the data, and, in particular, of confirming that the person requesting the credit is indeed who they claim to be. Thus, in any case where a third party improperly uses a stolen or lost ID to make a purchase or request credit online, the unauthorized processing of the personal data of the document's holder would always occur, even if the holder had previously reported the loss or theft of their ID to the authorities, since none of the measures outlined by the appellant appear to be minimally oriented towards preventing or hindering that outcome.

Second, the above does not mean that the contracting company bears the responsibility of preventing an unlawful or criminal act such as the fraudulent use of an ID by someone who is not its holder.

However, it is required of the contracting company, as a necessary diligence to avoid being reproached for failing to comply with its obligations regarding the protection of personal data—both concerning the requirement for the consent of the interested party and regarding the principle of truthfulness and accuracy of the data—to implement control measures aimed at verifying that the person who intends to contract is who they claim to be, that is, that they match the holder of the provided ID.

Furthermore, in accordance with what we have previously stated, we also share the opinion of the Chamber of the National Court (legal basis five of the contested judgment) regarding the violation of the requirement for accuracy and truthfulness of the data (data quality principle set forth in Article 4.3 of the LOPD in relation to Article 29 of the same Organic Law and Article 38 of the Regulation approved by Royal Decree 1.720/2007, of December 21), for having incorporated into its computer systems, and subsequently transferring to the Asnef solvency file, personal data of the complainant associated with a debt that was neither true, overdue, nor enforceable since the complainant had not contracted the microcredit.

And as occurs in the case analyzed by the aforementioned judgment, in this case, the respondent also did not diligently verify the truthfulness and accuracy of the data, and, in particular, that the person requesting the credit was indeed who they claimed to be.

Moreover, it is established in the proven facts that the company CGI, in a letter dated 01/03/2023 and in relation to the sending of the payment request to the complainant, stated that "the letter dated 21/06/2020, a copy of which is attached, was generated with the information provided by the respondent..., for its printing (File: (...).PDF; Envelope: (...)) and subsequent provision to the postal distributor responsible for its sending to the address:

***ADDRESS.1

Once the established process was carried out and from the provision at CORREOS, it is noted that there has been no incident and also no return of said letter to date," that is to say, it is accepted that the letter arrived at its destination.

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recipient when the City Council of Madrid itself, through the Technical Unit of the Street Directory in a letter dated 07/08/2023, indicated that "Currently, there is no street in the municipal street directory of the city of Madrid with the name Calle (...) and therefore there is also no number 75 of this street." This is another element that should have been taken into account by the respondent when verifying the accuracy of the information provided at the time of contracting.

3. The respondent states that in light of the possibility that there may have been identity theft of the claimant and the consequent illegitimate processing of their data, they deactivated their account by blocking their data.

In this way, in a letter dated 14/03/2023, the respondent confirmed that "only the use of a system created with the intent to defraud the Entity prevented it from detecting the forgery of the documentation submitted by the credit applicant, who, in this case, impersonated the identity of the current claimant, causing the events that led to the claim filed by them with this Agency and the initiation of the present proceedings."

However, in their response dated 14/06/2022 to the request made by this management center, they indicated that the debt on the Visa Ikea card amounted to €690.25 and that on 29/06/2020 they sent the relevant information to the ASNEF file and that, the following day, 30/06/2020, the claimant's data was effectively registered in the ASNEF solvency file as it was included in the weekly files sent until 20/08/2020.

And that "In accordance with the procedure for communicating registrations and cancellations to credit information systems, the data was effectively canceled from the ASNEF file on 11 August 2021."

That is, the claimant's data was included in the commonly referred to as delinquent files on 30/06/2020 and effectively canceled on 11/08/2021. Therefore, the claimant's data during the period in which it was contained in the aforementioned file continued to be processed illegitimately by the respondent until its effective cancellation, as there is no accredited legal basis for its processing, since the presumption of legality contemplated in Article 20.1 does not apply, as the debt was neither certain, nor due, nor enforceable, given that the contracting of the Ikea card with the claimant was not accredited.

4. Furthermore, it is noted in the proven facts that the respondent in a letter dated 31/12/2021 stated, "CaixaBank Payments & Consumer, as soon as it became aware of a presumed fraud/forgery in the contracting, proceeded to delete/block the personal data of the interested party, also proceeding to immediately cancel them in the credit information systems."

But, in a subsequent letter dated 14/06/2022, they stated, "The previous statement was incorrect as the data of the affected and claimant, relating to the credit contract with the aforementioned Ikea Visa card, had been canceled from the credit information systems on 11 August 2021, as a consequence of the aforementioned sales contract and assignment of credits dated 29 July 2021."

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Therefore, the respondent did not proceed to remove the data from the delinquent files nor to block the data because it was aware of the alleged impersonation of the claimant's identity and a presumed fraud in the contracting process. Rather, the removal from the files was motivated by the fact that the

credit was subject to assignment through a sales contract formalized in Madrid, before the notary Mr. B.B.B. with the company Invest Capital Ltd., on the date 16/09/2021, a company that in turn included the data in the file.

Therefore, as previously indicated, the actions of the respondent constitute a violation of Article 6.1 of the GDPR, in relation to Article 20.1 of the LOPDGDD, infringing the principle of lawfulness in the processing of data, which requires the existence of a legal basis that legitimizes it; an infringement that resulted in the claimant's data being included in credit information systems without the debt being certain, due, and enforceable, and without the respondent having demonstrated that it had carried out the legally established balancing, and consequently without it being established that its legitimate interests prevail over the interests, rights, and freedoms of the claimant, an infringement classified under Article 83.5.a) of the GDPR.

VI

In its allegations to the Proposal for Resolution, the respondent has expressed its disagreement with it, arguing that:

1. The non-existence of an infringement of Article 6.1 of the GDPR, since the alleged infringement originates from the deception exercised on the seller by maliciously impersonating the identity of the claimant at the time of validating their identity as a physically present applicant in the commercial establishment.

Article 8.1 of the LOPSC establishes that the DNI (National Identity Document) "is the only document with sufficient value by itself for the accreditation, for all purposes, of the identity and personal data of its holder" and that the verification by the respondent's representative of the identity of the interested party at the time of the application-contracting of the card is considered lawful and necessary for contracting.

According to the dictionary of the Royal Spanish Academy (RAE), the term "identification" is defined as "the action and effect of identifying or being identified" and the term "identify" as "to recognize whether a person or thing is the same as is supposed or sought." The term "identity" (in its second meaning) is defined as "the set of traits specific to an individual or a collective that characterize them in relation to others."

In summary, the obligation to "identify" that falls on the seller of the prescriber translates into "recognizing" whether the identity data, that is, the elements or traits that characterize the person intending to subscribe to the application-contract of the card (name, surname, identification document number, nature of the document, and even their physical image) are those that appear in the "document" "accrediting the personality."

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As noted in point 2 of the foundation V, in accordance with the Agreement signed between the respondent and IKEA, the seller, having the applicant physically present in the commercial establishment, proceeds to identify him through his identity document.

It is surprising that the respondent claims that due diligence was exercised since they have implemented measures to verify identity based on the DNI (National Identity Document) in their hiring processes. It is paradoxical that the seller, having the applicant in front of him and requesting the DNI to verify his identity through visual confirmation of the elements and features that characterize the person he intended to contract, did not realize that it was not the same person. Therefore, this is not, as the respondent attempts to argue, an invincible error, but rather a lack of negligence that could have been overcome if the necessary and timely measures had been adopted that would have led to the conclusion that the person who came to the commercial establishment was not the one he claimed to be and whose document he carried. This is particularly striking in light of the facts established in the proceedings: the signature did not match the one on the DNI, and yet the employee, as previously noted, proceeded to register the graphological image of the signature in the entity's systems. The entity itself has stated that a proper identification of the person was not carried out, which indicates a

behavior of serious negligence, easily avoidable if the appropriate protocols and precautions had been adopted, since neither the signatures matched, nor did the provided address exist, nor was the necessary documentation presented to prove that the bank account number provided corresponded to the contractor.

It is not that the individuals involved in the identification of potential clients have difficulties due to not being specialists in detecting such impersonations; it is rational that appropriate measures and necessary precautions are adopted to prevent such incidents from occurring.

The A.N. in its ruling of 01/10/2012 states: "Applying the previous regulations to the case under review, it has been established, and not disproven by contrary evidence, that a commercial distribution contract was signed by the acting entity, which included personal data of the complainant, specifically her name, surname, and DNI, but without corresponding to her, nor her supposed address, nor her supposed phone number, nor her email address.

A contract that lacks any signature and whose formalization has been denied by the complainant. It has also been proven that, once the invoice generated by the services derived from the aforementioned contract was unpaid, Avon Cosmetics included the name and DNI number of the complainant in the Asnef delinquency file.

Ultimately, it is a matter of the acting entity initiating a commercial relationship with a third party without sufficient control or supervision, as it was unable to detect that the person expressing the intention to contract was not who she claimed to be. As derived from the aforementioned GDPR, AVON, as the data controller, and despite its extensive arguments in the complaint, has not been able to demonstrate that the complainant had given her consent to the processing of her personal data.

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If AVON had taken the necessary precautions to ensure the identity of the contracting party, it would have been sufficient to verify some form of identifying documentation (even through telematic means), which would have avoided the infringement of Article 6.1 of the GDPR attributed by the AEPD.

Ultimately, by not acting with the necessary diligence, the data of the affected party was processed without their consent, which constitutes a violation of such an essential principle of legality, given that none of the exceptional circumstances that would exempt the need for such consent are present in this case. From all of this, it follows that the described facts are substantial enough to be classified as a serious infringement of Article 86.5 of the GDPR.

On the other hand, it is not possible to appreciate the invincible error that is persistently invoked in the complaint, since, in addition to the fact that it must be demonstrated (STS of June 23, 2014), as already indicated, and without prejudice to the fraud committed, the truth is that there was not sufficient diligence on the part of Avon Cosmetics either at the time of including the complainant's data in its databases or at the time of notifying the same to the asset solvency and credit file.

Lastly, the claimed absence of responsibility for having been a victim of fraud cannot be taken into consideration, since although currently Article 28 of the LRJPAC only recognizes responsibility "by way of intent or fault," there is no doubt that the requirement of culpability in administrative offenses is more flexible than in criminal law. Thus, according to repeated jurisprudence, in the face of clearly unlawful behavior, it is not enough to invoke the absence of fault; it must be proven that the required diligence has been employed (SSTS March 23, 2011, and October 21, 2014, among many others), diligence that, based on all that has been stated, cannot be appreciated in the conduct of Avon Cosmetics. From all of this, it follows that the sanction imposed on the acting entity in such contested resolution is lawful and proportionate, and therefore it must be confirmed."

On the other hand, regarding the unfavorable opinion of the AEPD on the initiative proposed regarding the possibility of using facial recognition data at the time of customer registration, it should be noted that any processing of personal data must have a legal basis, taking into account the specific case and the possible interference with the right to data protection, and compliance with the principles set forth in Article 5 of the GDPR, including the principles of legality and data minimization.

2. The violation of the doctrine of acts of one's own by archiving similar claims in which there is an identity of facts and subjects to those of the present procedure, including EXP2022022936.

However, the issue invoked by the respondent has nothing to do with the violation of the doctrine of acts of one's own and must be dismissed.

Firstly, the aforementioned file was directed against KRUK ESPAÑA S.L. as the interested party was claimed a debt whose original creditor was the now-respondent (CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U.), with the claimant being the same person who filed the complaint that led to the present.

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Procedure for infringement of Article 6.1 GDPR in relation to Article 20 of the LOPDGDD.

As indicated in point 4 of the previous foundation, the respondent and the entity INVESTCAPITAL, LTD formalized a contract for the sale of a portfolio of credits in Madrid, before the notary Mr. B.B.B. on 16/09/2021, which included that of the claimant, sending this letter informing about the assignment of the credit right.

In turn, the entity KRUK, in its capacity as data processor, provided InvestCapital, the data controller and current creditor, with debt recovery services.

As established in the proven facts, the claimant sent emails requesting to know if she was listed as a debtor in their systems and that she was not the holder of the mentioned debt, indicating that she had suffered identity theft regarding the contracting of the CaixaBank card, and therefore requested the deletion of her data.

On 09/03/2022, KRUK responded to the claimant confirming the amount of the debt. Regarding the request for deletion of the data, KRUK indicated that they could not comply as the new creditor (InvestCapital) was aware of the debt, but that, since she had provided indications of possible fraud by reporting identity theft to the police, KRUK informed her that they agreed to suspend the file until they had evidence of the identity theft that would allow them to definitively close the file.

Furthermore, the respondent forgets that the processing of the claimant's data carried out by InvestCapital, in its capacity as data controller, and KRUK, in its capacity as data processor, is the result of the acquisition of a package of debts from the respondent (CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U.) who relied on the appearance of veracity of the assigned credits, and since the processing carried out is as a bona fide acquirer, it cannot constitute an infringement of Article 6.1 of the GDPR.

On the contrary, the respondent's actions are contrary to the principle of lawfulness enshrined in Article 6.1 of the GDPR; the processing begins with the fraudulent contracting of the Ikea credit card no. (...), dated 13/01/2020, subscribed at the establishment Ikea Iberica, S.A., of the (...) and is permanent over time with the subsequent inclusion of the claimant's data in the Asnef file for a debt that did not correspond to her, from 30/06/2020 until 11/08/2021, the cancellation being a consequence of the aforementioned contract of sale and assignment of credits dated 29/07/2021.

This manner of proceeding is contrary to Article 6.1 of the GDPR and is typified in Article 83.5.a) of the GDPR.

3. The respondent also claims the absence of culpability in its actions and that no one can be condemned or sanctioned except for acts committed with intent or negligence.

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Objective responsibility is prohibited in our legal system. In the field of sanctioning Administrative Law, the principle of culpability prevails, such that the subjective or culpability element is an indispensable condition for the emergence of sanctioning responsibility. Article 28 of Law 40/2015, on the Legal

Regime of the Public Sector (LRJSP), regulates the principle of culpability and states: “1. Only individuals and legal entities, as well as, when a law recognizes their capacity to act, groups of affected individuals, unions, and entities without legal personality and independent or autonomous estates, may be sanctioned for acts constituting administrative infractions, provided they are responsible for them by way of intent or negligence.”

In light of this provision, sanctioning responsibility can be demanded on the basis of intent or negligence, with mere non-observance of the duty of care being sufficient in the latter case.

The Constitutional Court, among others, in its ruling STC 76/1999, has declared that administrative sanctions share the same nature as criminal ones, being one of the manifestations of the State's *ius puniendi*, and that, as a requirement derived from the principles of legal certainty and penal legality enshrined in Articles 9.3 and 25.1 of the Spanish Constitution (CE), their existence is essential for imposing them.

Regarding the culpability of legal entities, it is worth citing STC 246/1991, December 19, 1991 (F.J. 2), which states that, concerning legal entities, the subjective element of culpability must necessarily be applied differently than it is for individuals and adds that “This different construction of the imputability of the authorship of the infraction to the legal entity arises from the very nature of the legal fiction to which these subjects respond. They lack the volitional element in the strict sense, but not the capacity to infringe the norms to which they are subject. The capacity for infringement and, therefore, direct reproachability derives from the legal good protected by the norm that is infringed and the necessity for that protection to be truly effective [...]”

In conclusion, the conduct of the respondent, manifested in the infringement of the principle of legality, in relation to Article 20 of the LOPDGDD, by including the personal data of the claimant in common credit information systems without a basis for legitimization, since the claimant could not be the contracting party of the Ikea card, violates Article 6.1 of the GDPR, an action that falls under the sanctionable type of Article 83.5.a) of the GDPR.

4. Finally, the respondent alleges the violation of the principle of proportionality in the imposition of the sanction.

Article 83.1 of the GDPR states that “Each supervisory authority shall ensure that the imposition of administrative fines in accordance with this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 are, in each individual case, effective, proportionate, and dissuasive.”

Fines, therefore, as deduced from the provision, must be effective, proportionate, and dissuasive for achieving the purpose intended by the GDPR.

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It is true that for this system to function with all its guarantees, it is necessary for several elements to be deployed in an integral and complete manner. The application of rules foreign to the GDPR regarding the determination of fines in each of the Member States applying their national law, whether due to aggravating or mitigating circumstances not provided for in the GDPR - or in the LOPDGDD in the Spanish case as permitted by the GDPR itself - would undermine the effectiveness of the system, which would lose its meaning, its teleological purpose, the will of the legislator, resulting in fines imposed for different infringements ceasing to be effective, proportionate, and deterrent. In this way, it would also deprive the interested parties of the effective guarantee of their rights and freedoms, weakening the uniform application of the GDPR. The mechanisms for protecting the rights and freedoms of citizens would be diminished, which would be contrary to the spirit of the GDPR.

The GDPR is endowed with its own principle of proportionality that must be applied in its strict terms.

Regarding the principle of proportionality of sanctions, the National Court in numerous rulings has indicated that the principle of proportionality cannot be exempt from judicial review, as the margin of appreciation granted to the Administration in imposing sanctions within the legally established limits must be developed by weighing, in any case, the concurrent circumstances, in order to achieve the necessary and due proportion between the alleged facts and the responsibility required, given that any

sanction must be determined in congruence with the severity of the infringement committed and according to a criterion of proportionality in relation to the circumstances of the fact. Thus, proportionality constitutes a normative principle that is imposed on the Administration and that reduces the scope of its sanctioning powers.

Well, in accordance with the circumstances present in this case, the present resolution does not violate the principle of proportionality in the determination of the imposed sanctions, resulting in a measured and proportionate response to the severity of the infringement committed, the importance of the facts, as well as the circumstances taken into account to grade the sanction, without any reasons being appreciated that further justify the reduction made, especially considering the amount to which such sanctions may rise in accordance with Article 83.5 of the GDPR, which provides for a maximum administrative fine of €20,000,000 for the infringement of Article 6.1 of the GDPR, or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount.

Well, the entity is a large company within its sector of activity; in the year 2021 (the last financial year presented), it had sales exceeding €750 million and a profit of more than €218 million.

VI

In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

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“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation specified in paragraphs 4, 5, and 6 are, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of data subjects affected and the level of damage and harm suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the data controller or processor to mitigate the damage and harm suffered by the data subjects;
- d) the degree of responsibility of the data controller or processor, taking into account the technical or organizational measures they have implemented under Articles 25 and 32;
- e) any previous infringement committed by the data controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the data controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the data controller or processor in relation to the same matter, compliance with those measures;
- j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.

In relation to letter k) of Article 83.2 of the GDPR, the LOPDGDD, in its Article 76, “Sanctions and corrective measures,” establishes that:

“2. According to the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also

be taken into account:

- a) The continued nature of the infringement.
- b) The link of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.

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e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.

f) The impact on the rights of minors.

g) To have, when not mandatory, a data protection officer.

h) The voluntary submission by the responsible party or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.”

- According to the transcribed provisions, for the purpose of determining the amount of the sanction to be imposed in the present case for the infringement classified in Article 83.5.a) and Article 6.1 of the GDPR (inclusion of debt in delinquent files), for which the respondent is held responsible, the following factors are initially considered concurrent:

The aggravating circumstances are:

The nature and severity of the infringement; the facts revealed affect a basic principle related to the processing of personal data, such as legitimacy, which the regulation penalizes with the utmost severity; the level of harm suffered by the claimant that affects their economic solvency due to being denied a loan as a result of their personal data being included in common credit information systems at the request of the respondent in relation to a debt arising from an Ikea credit card amounting to €690.25 linked to the respondent, having been registered on 30/06/2020 and appearing until 11/08/2021, when it was deregistered by the respondent, as a result of the assignment of the debt to the company Invest Capital Ltd (Article 83.2.a) of the GDPR).

The activity of the allegedly infringing entity is linked to the processing of personal data of both clients and third parties. In the activity of the respondent entity, the processing of personal data is essential, so given the volume of business of the same, the significance of the conduct subject to this claim is undeniable (Article 76.2.b) of the LOPDGDD in relation to Article 83.2.k).

The intentionality or negligence in the infringement, as the respondent included the data in delinquent files without the debt meeting the requirements of Article 20.1 of the LOPDGDD and without carrying out the necessary assessment. Also connected with the degree of diligence that the data controller is obliged to exercise in compliance with the obligations imposed by data protection regulations, the SAN of 17/10/2007 can be cited. Although it was issued before the entry into force of the GDPR, its pronouncement is perfectly extrapolable to the case we are analyzing. The ruling, after referring to the fact that entities whose activities involve continuous processing of data from clients and third parties must observe an adequate level of diligence, specified that “(...). the Supreme Court has understood that there is negligence whenever a legal duty of care is neglected, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that, in the case now examined,

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when the activity of the appellant involves constant and abundant handling of personal data, it is essential to emphasize the rigor and exquisite care required to comply with the legal provisions in this

regard" (Article 83.2, b) of the GDPR).

The investigated entity is a large company within its sector of activity and in the year 2021 (the last fiscal year presented) had sales of €752,310,000 and a profit of €218,701,000 according to Axesor data (Article 83.2.k) of the GDPR).

VII

The corrective powers that the GDPR attributes to the AEPD as the supervisory authority are listed in its Article 58.2, paragraphs a) to j).

Since the infringement has been confirmed, it is appropriate to impose on the responsible party the adoption of adequate measures to align its actions with the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, which states that each supervisory authority may "d) order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specified manner and within a specified time frame."

In this case, the respondent is required to, within six months from the notification of this resolution:

- Provide evidence of the adoption of adequate measures to prevent future incidents similar to those that led to the initiation of this sanctioning procedure, avoiding incidents such as the one indicated when processing personal data in credit information systems, without any legitimization as contemplated in Article 6.1 of the GDPR.

It is warned that failure to comply with the possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning procedures.

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of the sanctions whose existence has been established,

The Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., with NIF A08980153, for an infringement of Article 6.1 of the GDPR, classified in Article 83.5.a) of the GDPR, a fine of €70,000 (seventy thousand euros).

SECOND: TO ORDER CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., with NIF A08980153, that pursuant to Article 58.2.d) of the GDPR, within six months from the notification of this resolution, it must provide evidence of having complied with and adopted adequate measures to prevent incidents like the one that led to the procedure when processing personal data in information systems.

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credit without any legitimacy as contemplated in Article 6.1 of the GDPR.

THIRD: NOTIFY this resolution to CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U.

FOURTH: Warn the sanctioned party that they must pay the imposed sanction once this resolution becomes executive, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No.

IBAN: ES00-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receiving the notification and once it is executive, if the date of executivity falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the

following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law. Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it would consider the provisional suspension to be concluded.

Mar España Martí

Director of the Spanish Agency for Data Protection

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